Intro:

Cameron: Good morning everyone. The committee has a full agenda of discussing the balance of risks in the economy, so let's get started right away.

Growth:

Lily: Real GDP grew at an annualized rate of 3.8% in Q2, a final revision up from 3.3% to reflect an uptick in consumer spending, beating Survey of Professional Forecasters and SEP predictions. Following Q1's 0.6% contraction, this is an encouraging signal for growth. Real final sales to private domestic purchasers, a barometer of underlying economic growth, grew at 2.9 pp, matching the rate in Q1 and consistent with numbers seen in the second half of 2024. Net exports contributed 4.83% to the Q2 GDP figure, with growth reflecting a 29.3% annualized fall in imports. This indicates a downturn in stockpiling to typical levels by consumers and businesses, which surged in Q1 due to tariff expectations.

Avril: Growth attributed to trade expectations, however, should be taken critically, as they are more temporary than fundamental reflections of the underlying health of the economy. Fixed nonresidential investment, for example, contributed 0.77 pps to percentage change in Q2 GDP; this is down from 1.21 pp in Q1, which had rebounded from contributing negative 0.34 pps in Q4 of 2024. This suggests volatility. While Q2 growth was impressive, the underlying composition—falling imports and volatile investment—suggests growth momentum is not durable. It is worth noting, however, that much of the weakness in GDP owes to factors beyond the Federal Reserve's control, such as foreign policy and immigration. Population change is a factor we nevertheless deem important to address as we take a pulse on the labor market.

Labor:

Varad: The labor market is in a complicated state right now, with potential simultaneous contractions in supply and demand. Because of this, the FED's risk management approach is more important now than ever. In theory, weaknesses in labor supply and labor demand may appear to balance each other out and keep the market in equilibrium, and by that metric, the FED shouldn't be concerned. However, as conditions continue to gradually soften, it is critical to determine if there truly is a balance between the two or if one is deteriorating at a rate faster than the other. Due to stronger quantitative signals, it is likely that labor demand is easing faster than the labor supply and that another rate cut may be appropriate to further stimulate hiring.

Tanay: The unemployment rate in August was 4.3%, 0.1% higher than the previous year and the previous month of July. While the unemployment rate is still low by historical standards, this is the highest level of unemployment in nearly 4 years, and serves to indicate the downward trend in the market. When considering the U-6 unemployment rate, which also includes marginally

attached workers, this number is sitting at around 7.8%, serving as a more accurate indicator of how underlying factors like discouraged workers are affecting the labor market's health.

Cameron: Gradually rising unemployment has also been paired with ailing job growth. The economy added only 29,000 jobs in August, far below expectations. This is a sharp drop from July's addition of 73,000, and far below the 2024 average of 186,000 monthly. While a lapse in appropriations has left us without BLS data for September as of now, private surveys conducted by ADP, Revelio, and Indeed show that weak job growth likely continued in September.

Avril: Diving into the supply side of the labor market, we see that weak payroll jobs gains can be traced back to low net migration. Immigration restrictions from the current administration are likely to restrict labor supply growth. A recent report by the American Enterprise Institute estimates that slower immigration in 2025 will lower the monthly potential employment growth to 10,000 to 40,000 jobs in the second half of 2025, significantly lower than the 2024 rate of 140,000 to 180,000 monthly, potentially significantly lowering growth and suggesting that low supply may be more responsible for slow job growth.

Varad: The slowing growth in labor supply is also characterized by the falling labor force participation rate and employment-population ratio, which sit at 62.3% and 59.6% respectively. These measures are possibly reflecting the fact that, as the Baby Boomer generation continues to retire that newer generations are not fully taking their place in the workforce.

Lily: However, quit rates and layoff rates remained steady in August, suggesting that the frozen labor market of low hiring, layoffs, and quits continues today. Although low monthly job growth may typically be a cause for concern, constant total separations and unemployment rate suggest that low job growth has been more reflective of negative labor supply shocks. Because of this, one may think that the labor market would appear to be in balance.

Tanay: On the other hand, labor demand appears to be painting a darker picture that we must pay attention to. First, the majority of industries appear to be struggling. The economy as a whole has reported small but positive job growth, but outside of health care and education, industries actually lost an average of 13,000 jobs each in August. Suggesting that further rate cuts are necessary to support the labor market.

Avril: We can also see labor demand slowing through the number of open jobs. According to the Job Openings and Labor Turnover Survey U.S. job openings are near their lowest marks in the last year, coming in at 7.2 million or a rate of 4.3%. This also marks the first time since 2021 where there has been more unemployed people than job openings. A sign of further contraction in demand.

Cameron: Additionally, these last two job reports have come with large downward revisions of previous month job growth, even leaving estimates of aggregate job losses for June. Much of these large revisions are due to a decline in initial response rate to BLS surveys, as Governor Waller recently noted. These lower initial response rates force larger imputations in the data and leave open the possibility of non-response bias impacting our data. While final survey response rates are still high and final data extremely reliable, the frequency and magnitude of recent downward revisions suggest that the labor demand could be weakening more than we can currently observe.

Lily: Furthermore, we received an early estimate of a forthcoming downward revision of 911,000 jobs between April 2024 and March 2025, nearly halving the estimated amount of jobs added during this time span.

Lily: Meanwhile, discouraged workers—those who've stopped looking altogether—had a total number of around 492,000 in August, an increase of 40,000 since July. Among the unemployed, the number of new entrants looking for their very first job jumped by 275,000 in July, reaching nearly 1 million. These numbers show that low labor demand will continue to put upward pressure on unemployment, regardless of the current labor supply trends.

Varad: Finally, federal hiring is estimated to fall dramatically. By the end of the year, there will be 300,000 fewer federal workers on payroll than in January. That's the largest 12-month reduction since 1946, and it represents one in ten federal civilian jobs.

Tanay: Although both supply and demand appear to be showing weakness, demand has demonstrated this to a greater magnitude, and shows signs of greater risk even after our decision to cut rates in September. A rate cut of 25 bps appears appropriate to further support feeble labor demand.

Prices:

Avril: For prices, the big picture is that inflation remains elevated above the Fed's 2% target.

The CPI is showing renewed strength, recording 2.9% in August, with core CPI ticking up for the third month in a row at 3.1% for the same month after bottoming out at 2.8% earlier this year.

Lily: The Fed's preferred gauge—core PCE inflation—rose to 2.9% year over year in August, with headline PCE at 2.7%. Both numbers are still above target. We can also examine the month-over-month decomposition for PCE inflation. Month over month, goods prices rose .1% after falling 0.1% in July, while services inflation *rose* by 0.3%, roughly in line with the current

trend. Additionally, inflation on healthcare services declined to 0.1%, with housing remaining relatively constant over the last year at a rate of .4 percent.

Cameron: Looking ahead, the key uncertainty is whether tariffs will create a persistent upward push or more of a one-time shock.

Tanay: Producer prices cooled in August. Headline PPI for final demand fell 0.1% mom in August, reversing July's +0.7% surge. The August dip was driven by services -0.2% mom (which was in turn driven by the -1.7% in trade margins), while goods edged +0.1%.

Varad: Analysts at RBC's U.S. Inflation Watch have pointed out that some tariff-related pressures haven't fully shown up across all sectors yet because firms stockpiled inventories before the tariffs took effect. As inventories are drawn down, some costs are likely to pass through to consumers more broadly, but given the historical trends of tariff pass-through, we believe that inflation effects are likely to be temporary rather than entrenched. Nonetheless, we should remain vigilant in the next 6 months to better gauge tariff impact on prices.

Cameron: Inflation expectations are a crucial anchor in this context. The NY Fed's median inflation expectations measure increased to 3.2 percent from 3.1 percent at the one-year-ahead horizon in August although expectations remained steady at 3.0 percent at the three-year-ahead horizon. While these numbers are above the 2% target, these long-term numbers have been stable and are largely in line with previous 2025 readings and historical pre-pandemic norms. This shows that while anxiety over potential price shocks may be rising in the near term, there is still a strong degree of trust held in the Federal Reserve to bring down inflation to target. Recent literature, like the work of Nakamura et al. (2025), only reinforces the view that the Fed's strong credibility in fighting inflation gives it significant leeway in "looking through" price shocks over short horizons.

Avril: On the wages side, the Atlanta Fed's three-month moving average of wage growth shows a consistent decrease in median wage growth since June 2024. The BLS's Employment Cost Index similarly shows seasonally adjusted three-month compensation cost inflation staying steady at 0.9%.

Tanay: Additionally, the US Dollar has experienced a drastic devaluation this year. The US Dollar Index, which compares the greenback against a basket of international currencies has dropped over 9% year-to-date. Much of the decline has occurred after the announcement and subsequent levying of tariffs on American trading partners. Dollar devaluation has an adverse effect due to the exchange rate pass-through mechanism, which raises the prices of foreign goods and services.

Lily: As trade policy becomes clearer, we'll have a better idea of the short-lived effect tariffs will have on prices, especially goods prices. Anchored inflation expectations, alongside easing wage growth and Fed credibility, should provide confidence that inflation will remain under control while risks in the labor market are addressed through this easing cycle. However, as risks remain on both sides of the dual mandate, the prudent course would be a small, measured lowering of rates to balance inflation control while addressing emerging risks in the labor market.

Consumer + Financial:

Varad: Based on our decision to cut rates in September, it is clear that the balance of risks has shifted toward labor market weakness. However, we must assess how our September cut changes the balance of risks going forward. Currently, the median Fed official expects 50 bps of further cuts in 2025. We are still waiting for policy lags to make their way through the economy.

Avril: Despite recent consumer sentiment being down, the consumer still remains in a solid financial position on average.

Cameron: PCE spending picked up from an increase of 2.5% year over year in July to 2.7% in August. Though this is weaker than the spending we saw towards the beginning of the year, it still represents a healthy consumer.

Lily: However, consumers are reluctant to commit to future spending. Michigan Consumer Expectations fell to 55.1 in September, the lowest mark in 4 months. Expectations in 2025 cratered shortly after tariff announcements and have yet to recover to where they were before, in the 70s range. This latest reading likely reflects a continued cooling of the economy.

Tanay: Additionally, according to the Michigan Survey of Consumers, 60% of consumers are expecting unemployment to rise in the next year ahead—a number not seen since the great recession. Suggesting that consumers' fears about the labor market in the near term may cause them to pull back their spending.

Varad: Despite their fears, available aggregate statistics suggest that consumers have fairly healthy finances at the moment.

Varad: In 2025, the average saving rate by month has only averaged 4.5%—much below the highs of the pandemic and still below the 6% average we saw in the period leading up to the pandemic. Despite this, according to Bank of America, all income groups have a higher median checking and savings account balance compared to 2019, suggesting that consumers have yet to go through all of their excess pandemic savings, and a sign that the consumer weakness could be overstated.

Lily: According to the New York Fed Household credit report, the percent of balance 90+ days delinquent for credit cards and auto loans remained elevated but stable in both Q1 and Q2. While these numbers are elevated compared to pre-pandemic, they have largely stabilized over the last year. Furthermore, Bank of America data shows that credit card balances as a share of after tax income are 10-15% lower than in 2019 for all income groups, suggesting that despite elevated delinquent balance rates, strong wage gains in 2022 and 2023 may have outpaced them.

Avril: While consumers possess relatively healthy finances, we do not believe this should deter further rate cuts. Fears of a labor market downturn should prevent any unsustainable consumption boom following an additional rate cut, rather this cut will serve to balance risks as it will provide insurance against further labor demand driven slowdowns.

Cameron: Financial markets look to be largely stable as well.

Cameron: The yield curve remains upward sloping. The two-year treasury yield currently sits at 3.52%—around 60 basis points lower than the ten-year yield, creating an upward slope. This shape can be explained by a few factors. Recently, the July and August job reports have moved rates down by around 20 basis points each, skewing market sentiment towards lower growth expectations going forward and a sign that markets are pricing in rate cuts in response to a weak labor market.

Avril: However, another reason for the steepening in the yield curve we are currently seeing is inflation expectations: if investors expect inflation to pick up, they want higher returns on long-term bonds to offset that risk. If we follow through with rate cuts to address the ailing labor market, we must watch longer term yields closely to ensure long run inflation expectations remain anchored at target.

Tanay: The VIX volatility index, which spiked above 50 in April, has fallen consistently since and now sits at a comfortable range of 12–15. By historical standards, this is quite low, suggesting the market is not pricing in much tail risk.

Varad: Some see these abnormally low levels, especially against today's fraught geopolitical backdrop, as a sign of complacency. Many, including Chair Powell, have suggested that equity prices are "fairly highly valued", implying that current valuations and volatility measures may be underestimating the risk of recession or broader systemic shocks. A correction in the financial markets could trigger more weakness in labor demand, something we must watch closely when considering upcoming rate decisions.

Recommendation:

Cameron: The committee proposes lowering the federal funds rate by 25 basis points to a range of 3.75 - 4.00%. The balance of risks has shifted towards weakness in labor demand, and more accommodative policy is required for stabilization. While inflation still remains above target, we believe well anchored long term inflation expectations will allow us to look through short term tariff related price shocks in order to address the more urgent threat of weakening labor demand.

Cameron: The committee will now take a vote:

Avril: Aye, this rate cut will ensure that we are in line with our mandate of maximum employment

Lily: Aye, we must continue to keep a close watch on incoming labor market data to inform appropriate rate decisions in the coming months

Varad: Aye, we should continue to monitor inflation expectations to ensure they remain anchored

Tanay: Aye, but we must make sure to continue to account for heightened inflation while we continue this rate-cutting cycle

Cameron: The Ayes have it, this meeting is adjourned.